

How Pocket-Based Budgeting Changes Spending Behavior

A behavioral analysis inspired by Crew

Context / Problem

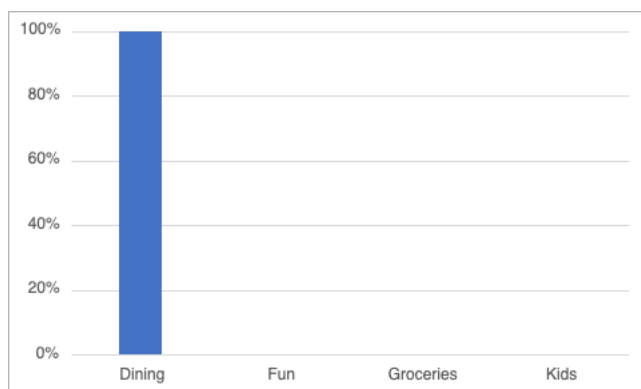
Traditional budgeting tools help people **categorize spending after it happens**, which often leads to accidental overspending, budget anxiety, and constant recalculation.

Crew's pocket-based model changes this by enforcing **pre-spend constraints** — users decide *where money can go* before they spend it.

Question:

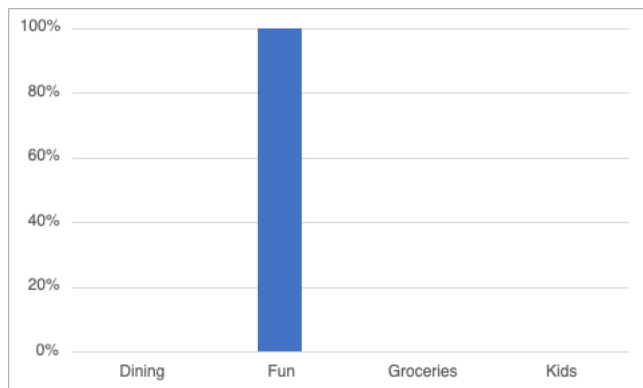
How does pocket-based budgeting change spending behavior across essential and discretionary categories?

Overspending is rare and isolated by pocket



Overspending is rare and appears only in discretionary categories. Essential pockets such as Groceries and Kids remain stable, suggesting pre-spend pocket constraints prevent accidental overspending.

Intentional full-pocket spending occurs in fun categories



Full-pocket spending occurs intentionally in “Fun” categories, indicating users treat pocket depletion as permissioned, guilt-free spending rather than a budgeting failure.

Key Insight

Pre-spend visibility shifts budgeting from **reactive correction** to **proactive decision-making**. Users are not just spending less, they are spending **more intentionally**.

Implications for Crew

- Emphasize pocket creation early in onboarding
 - Frame “spending to zero” as success, not failure
 - Highlight *available-to-spend* balances over total balances
 - Reinforce the idea of “guilt-free money” in product messaging
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Notes

Analysis based on a small synthetic dataset designed to illustrate behavioral patterns rather than statistical significance. Excel workbook available upon request.
